

Aim of assessing fund performance

↳ assess if superior performance has been obtained by taking more risk

Problems with implementing risk controls

- creeping change in portfolio composition
- successful managers may be treated unfairly by management system
- manager may disagree with market view of a stock's or market's perspective and/or uncertainty in the perspective

CHAPTER 17: PERFORMANCE MEASUREMENT

Valuation + Performance of Equities

Market Price

Refinements:

- total return → allow for dividend income
- equity price influenced by short-term concerns, investors may be more focused on long-term
 - long-term = uncertain
 - MP = best estimate of CF to average investor
- value investors → under/overperformance reverse
- growth investors → persistent under/overperformance

Net Present Value

Absolute NPV

- depends on assumptions
- different risk or tax considerations → drive MP
- differences in MP + NPV
 - different profile between particular + average investor
 - different computation, info or assumptions used

Changes in NPV

- trend of NPV
- large difference diminished overtime → assess cheapness or dearth of stocks or market

Net Asset Value

- one component of overall value
- share with ↑ NAV in price = cheaper
- Ⓢ ALL ELSE EQUAL
 - ↳ Eg: company 1 vs company 2
 - expand by acquisition value then
 - acquire goodwill → REMOVE to compare
- no allowance for risk
- no intangibles
- acc number
- ∴ readily available

Ⓢ generally only valid comparison in same sector

Risk Adjusted Return on Capital

performance measure $\leftarrow$ profits
economic added value
= net operating profit
after tax - cost of cap
Ⓢ No allowance for degree or risk

CAPM

$$\text{Risk-adjusted return} = R - \rho(R_M - r)$$

vs risk free rate $\rightarrow$ return on invested capital

if high → successful creation of intangible assets + shareholder value

Capital	Returns
Include $\leftarrow$ goodwill internally generated goodwill other intangible A all tangible A	Return = $\frac{\text{profit}}{\text{capital}}$
<u>Market capitalisation</u> = best measure of capital including intangibles	- add back to profits any investment in creation of intangible assets + in expansion + purchase of tangible assets - deduct any expenses incurred in defending + servicing existing tangible + intangible assets

Security market line

$$E_i = r + \rho_i (E_M - r)$$

$$\rightarrow \rho_i = \frac{\text{cov}(R_i, R_M)}{\text{var}(R_M)}$$